CLASSIFIED TO DECLASSIFIED

A SERIES IN DECLASSIFIED CIA INTELLIGENCE

PART II

THE CRACKS SPREAD EAST

How the CIA Watched the Baltic Republics and East Germany Begin to Slip Moscow's Grip

A Narrative Analysis of Three Declassified Top Secret Intelligence Briefs

June – July 1989

Declassified and Approved for Release: October 29, 2019

Part I: The Five Months That Broke the Bloc — Poland, April–August 1989

Source Documents: TCS 2847/89 • TCS 2874/89 • TCS 2876/89

Source Documents at a Glance

The three intelligence assessments analyzed in this narrative were originally classified Top Secret and produced by the CIA's Directorate of Intelligence. While Part I of this series tracked the collapse of Communist governance in Poland, Part II widens the aperture: the contagion was spreading. By summer 1989, the Baltic republics were engineering de facto independence from within the Soviet system itself, and cracks were appearing even in the most rigid state in the bloc—East Germany. These documents, read alongside the Polish series, reveal an empire coming apart at every seam simultaneously.

DATE	REFERENCE	TITLE & SIGNIFICANCE
26 Jun 1989	TCS 2847/89	**East Germany: Seeking Fresh Policy Options** *Alarmed Politburo members bypass party think tanks and task a university to draft reform proposals. The first documented signal that even Honecker's regime sensed the ground shifting.*
28 Jul 1989	TCS 2874/89	**Baltic Republics Move Toward Economic Autonomy** *The Supreme Soviet gives Lithuania, Latvia, and Estonia the green light for self-financing—a year ahead of schedule. Russian workers in Estonia strike in protest.*
31 Jul 1989	TCS 2876/89	**Baltic Nationalists Press Ahead (Special Analysis)** *Lithuania and Estonia cut organizational ties to Moscow and pursue de facto independence through legal channels. The CIA assesses that Gorbachev will not allow secession but has ruled out military force.*

Connecting the Threads: From Warsaw to Tallinn to East Berlin

In Part I of this series, we followed the CIA's real-time reporting on Poland's 134-day journey from the Roundtable Accords to the appointment of a non-Communist prime minister. That story was extraordinary on its own terms. But the intelligence professionals who wrote those Polish assessments knew something that the neat boundaries of a single-country narrative can obscure: Poland was not an isolated case. It was the most visible fracture in a system that was cracking everywhere at once.

The three documents examined in Part II were produced during the same months as the Polish crisis—June and July 1989—and they reveal two additional fronts where the Soviet bloc was unraveling. In the Baltic republics, Lithuania, Latvia, and Estonia were exploiting Gorbachev's own reform rhetoric to pursue what amounted to a slow-motion declaration of independence. In East Germany, the most doctrinaire and apparently stable state in the Warsaw Pact, senior Politburo members were quietly panicking about popular unrest and economic stagnation. Read together with the Polish series, these documents paint a portrait of an empire that was losing control not in one dramatic confrontation but across a dozen simultaneous crises, each reinforcing the others in ways that no central authority could manage.

The Quiet Panic in East Berlin

June 26, 1989 — TCS 2847/89

The East Germany brief is the shortest of the eight documents examined across both parts of this series, and in some ways the most chilling. It reports that some members of the East German Politburo had become alarmed about two converging threats: growing popular restiveness and sluggish economic performance. Their response was to task Humboldt University in East Berlin—not the party's own think tanks—to draft proposals for new economic policies and increased popular political participation.

That single detail—the choice of an outside institution over the party's internal apparatus—is the kind of signal that intelligence analysts live for. The CIA's comment section drew exactly the right conclusion: turning to a relatively independent organization rather than party-dominated research centers suggested the Politburo faction recognized that the party's own intellectual infrastructure was incapable of producing fresh solutions. These were officials who had lost faith in the system's ability to reform itself through its own channels.

Critically, the requesters reportedly did not include Politburo hardliners like Egon Krenz, who was then the leading contender to succeed the aging party boss Erich Honecker. The CIA assessed that the exploration of new options probably had Honecker's tacit approval but that proposals for more than modest reforms were unlikely to win hardliner support. This was a regime where the reformers were too weak to act and the hardliners were too blind to see. It was a recipe for paralysis—and within four months, the Berlin Wall would fall.

What makes this document so valuable in hindsight is what the analysts could not yet see. The CIA characterized the East German leadership's concern about political turmoil in Eastern Europe as a motivating factor—a clear reference to the Polish crisis unfolding simultaneously. The contagion effect that the Polish documents hinted at from the Eastern European side was now visible from the East German side as well. The dominoes were not falling in sequence. They were wobbling together.

Independence by Installment: The Baltic Strategy

July 28, 1989 — TCS 2874/89

Three days before the CIA produced its comprehensive Special Analysis on Baltic nationalism, a shorter brief reported on a concrete legislative milestone. The Supreme Soviet—the national legislature of the USSR itself—had given the three Baltic republics the green light to shift to self-financing in January 1990, a full year ahead of other Soviet regions. It had also endorsed in principle the Lithuanian and Estonian draft laws on economic autonomy and established a commission to prepare revised versions by October.

The debate in Moscow had been sharp. Senior figures including Politburo member Vorotnikov and the head of the State Planning Committee, Maslyukov, raised numerous objections and proposed delaying approval. They lost. The fact that Baltic economic autonomy was being approved over the explicit resistance of central planning authorities tells you everything about the balance of power in Moscow by mid-1989. Gorbachev's reform agenda was running ahead of his ability to manage its consequences.

The CIA's assessment flagged an important complication that would echo through the eventual dissolution of the Soviet Union: the Russian minority question. Russian workers in Estonia had staged brief strikes to protest proposed electoral laws that would strip voting rights from recent immigrants and soldiers—categories that disproportionately included ethnic Russians settled in the Baltics during decades of Soviet-era demographic engineering. The analysts noted that while many Russians in the Baltics favored economic reform, they were concerned that local nationalists would use republic economic autonomy to close enterprises traditionally dominated by Russians and redistribute housing and other amenities.

This was not an abstract concern. It was a preview of the ethnic tensions that would define post-Soviet politics across the former empire—from the Baltics to Central Asia to the Caucasus. The CIA was tracking the seeds of conflicts that would still be generating intelligence requirements three decades later.

Playing Gorbachev's Game Better Than Gorbachev

July 31, 1989 — TCS 2876/89 (Special Analysis)

The most substantial of the three documents is the Special Analysis dated July 31, 1989, and it reveals a Baltic independence strategy of remarkable sophistication. The CIA's central finding was that Baltic nationalists and sympathetic republic party officials in Lithuania and Estonia were testing the limits of Gorbachev's reform campaign and moving to institutionalize republic sovereignty. Their method was ingenious: rather than confronting Moscow directly, they were putting daring reform programs into place and cutting organizational ties to the center, hoping to establish de facto independence as a prelude to an eventual push for outright separation.

The operational details are extraordinary. In Lithuania, the Communist Party itself had called a congress to consider breaking with the Soviet Communist Party—a sitting Communist organization voting to sever ties with its own parent body. The Komsomol, the party's youth wing, was already cutting links to Moscow. A group of militia officials had even suggested that the republic's Internal Affairs Ministry become independent of the Soviet structure. Meanwhile, Lithuanian and Estonian officials were conducting their own foreign policy: Lithuania's party chief had visited Warsaw and signed a bilateral cultural cooperation agreement with Jaruzelski, while Estonia's premier had led a delegation to Malaysia to discuss joint venture opportunities.

The CIA identified the driving force behind this acceleration: a convergence of nationalist party officials and popular-front activists who were finding common cause. The top republic party leaders—reformists whom Gorbachev himself had appointed the previous year—were ousting orthodox officials, publicly supporting popular-front positions, and installing moderates in key leadership roles. They were doing this, the analysts noted, out of political necessity: opinion polls gave local party organizations less than 10 percent support in free elections. To survive politically, Communist officials had to out-nationalist the nationalists.

This is one of the most instructive dynamics in the entire declassified record. The Baltic party leaders were not betraying Communism out of ideological conviction. They were making a rational political calculation: in a system that was being forced to accommodate genuine popular sentiment, the only way for a Communist official to retain power was to adopt the opposition's platform. It was perestroika eating its own children.

Moscow's Calculus: Everything Short of Secession

The CIA's assessment of Moscow's position is the section that carries the heaviest implications for modern security analysis. The analysts found that Moscow was prepared to accommodate many Baltic nationalist demands for three interconnected reasons: to help local party organizations gain legitimacy, to leverage the more advanced Baltic economies in

support of broader economic reform, and to bolster Gorbachev's campaign of political decentralization.

Gorbachev had told Baltic deputies directly that he was ready to give them a great deal short of secession. Moscow had communicated to the Estonians that they could not have a separate foreign policy, army, or currency but were otherwise free to act. Yet even these red lines were showing signs of flexibility. The CIA reported that Lithuanian party chief Brazauskas had implied Gorbachev had approved a republic convertible currency for foreign transactions—a significant concession that blurred the boundary between economic autonomy and monetary sovereignty.

Most significantly, the CIA reported that Gorbachev had ruled out using military force against Estonian nationalists. This single intelligence finding, buried in the second page of a multi-page assessment, was arguably the most consequential piece of information in any of the documents examined across both parts of this series. If Moscow would not use force against the Baltics, the entire coercive foundation of the Soviet empire was hollow. Every subsequent act of Baltic assertiveness—and every subsequent act of nationalist assertion in every other Soviet republic—would be conducted against the backdrop of this fundamental constraint on Moscow's power.

The analysts, characteristically, hedged. They noted that Gorbachev was concerned that an orthodox backlash against Baltic developments could undermine his entire reform program, and that unrest in the Caucasus and Central Asia might compel him to take a firmer line. But the strategic trajectory was unmistakable: the Baltic republics were exploiting Gorbachev's own stated principles—decentralization, rule of law, political reform—to dismantle his empire from within. They were playing his game better than he was.

Lessons for the Modern Security Professional

Read alongside Part I's Polish narrative, these three documents extend and deepen the analytical lessons that emerge from the CIA's real-time coverage of the Soviet bloc's collapse.

1. Empires rarely collapse at one point of failure

The temptation in retrospective analysis is to identify a single cause or a decisive moment—the fall of the Berlin Wall, Solidarity's election victory, Gorbachev's decision not to use force. These documents correct that temptation. What the CIA was tracking in the summer of 1989 was not a single crisis but an ecosystem of crises: Poland's democratic breakthrough, the Baltic republics' institutional decoupling, East Germany's leadership paralysis, Hungary's liberalization, ethnic unrest in the Caucasus. Each crisis created space for the others to advance. The lesson for modern analysts is to watch for systemic fragility—the moment when multiple independent pressure points begin to interact and reinforce each other in ways that overwhelm a system's capacity to respond.

2. Reform rhetoric creates irreversible expectations

Gorbachev's perestroika was designed to modernize the Soviet system, not to dissolve it. But the language of reform—decentralization, rule of law, popular participation—created a framework that subordinate actors could exploit for purposes Moscow never intended. The Baltic nationalists understood this with remarkable clarity. By framing their independence campaign in the vocabulary of Gorbachev's own reforms, they made it almost impossible for Moscow to oppose them without repudiating its own stated principles. This dynamic—where a regime's reform language is turned against it by actors who take the rhetoric more literally than the center intended—is a recurring feature of authoritarian liberalization, visible today from the Middle East to Southeast Asia.

3. The force question is the only question that matters

Once the CIA reported that Gorbachev had ruled out military force against the Baltics, the outcome of the independence struggle was essentially determined—even if it would take two more years to play out fully. The same dynamic was visible in Poland: the implicit threat of a crackdown was the regime's last bargaining chip, and once Solidarity concluded that the threat was a bluff, the negotiation was over. For security professionals assessing

authoritarian stability today, the single most important question remains: will the regime use force? Everything else—popular protests, institutional reforms, opposition organization—is contingent on the answer to that question.

4. The ethnic dimension is always more complex than the political one

The CIA's flagging of Russian minority concerns in the Baltic republics is a reminder that national liberation movements carry their own exclusionary dynamics. The Estonian electoral laws that provoked Russian worker strikes, the demographic anxieties that slowed Latvia's independence movement, the unresolved questions about land and resource ownership—these were not peripheral issues. They were the seeds of the statelessness crises, citizenship disputes, and ethnic tensions that would define Baltic politics for decades after independence. Any analyst assessing a political transition today who focuses only on the central drama of regime change and ignores the minority dimension is repeating a mistake the CIA was already identifying in 1989.

Looking Ahead: The Series Continues

Part I showed us how the CIA watched one country's Communist regime unravel. Part II has widened the lens to reveal the same unraveling across three countries and two distinct geopolitical theaters—the Warsaw Pact and the Soviet Union itself. Together, eight declassified documents now form a composite portrait of an intelligence community grappling with a world that was changing faster than its analytical frameworks could accommodate.

The story, of course, is far from over. The Berlin Wall had not yet fallen. The Soviet Union had not yet dissolved. Ceausescu had not yet been overthrown. The full cascade of 1989's revolutions was still ahead. As additional declassified documents are examined in subsequent parts of this series, the narrative will continue to expand—from individual country crises to the systemic collapse of an entire geopolitical order.

What remains constant across every document, every country, and every crisis is the fundamental challenge these briefs posed to their original readers: how do you make decisions when the world you understood yesterday is not the world you will face tomorrow? That question has not aged a day.

ABOUT THIS SERIES

Classified to Declassified is an ongoing series analyzing formerly Top Secret CIA intelligence documents from the collapse of the Soviet bloc. Part I: The Five Months That Broke the Bloc (Poland, April–August 1989). Part II: The Cracks Spread East (Baltic States & East Germany, June–July 1989). Additional installments forthcoming.

Source documents: C06826745, C06826749, C06826754. All approved for public release October 29, 2019.